CHAPTER -11-NATIONAL INCOME AND RELATED AGGREGATES (BASIC CONCEPTS)

MULTIPLE CHOICE QUESTIONS

Sl. No.	MCQ
1.	Which of the following represents national income? (a) GDPmp (b) NDPfc (c) NNPfc (d) GNPfc
2.	National income is equal to: (a) GDPmp – Depreciation (b) NNPmp – Net indirect taxes (c) GNPfc – Depreciation (d) Both (b) and (c)
3.	Which one of the following statements is correct? (a) Market price + Net indirect taxes = Factor cost (b) Market price – Net indirect taxes = Factor cost (c) Both (a) and (b) (d) None of these
4.	Which one of the following is correct formula of GNP deflator? (a) $\frac{Realnationalincome}{Nominalnationalincome} \times 100$ (b) $\frac{Nominalnationalincome}{100} \times Realnationalincome$ (c) $\frac{Nominalnationalincome}{Realnationalincome} \times 100$ (d) Both (a) and (c)
5.	In which type of economy domestic income is equal to national income? (a) Open economy (b) Closed economy (c) Capitalist economy (d) Socialist economy
6.	GNP at market price is measured as: (a) GDPmp + NFIA (b) GNPmp + subsidies (c) GDPmp – Depreciation (d) NDPfc + NFIA
7.	Which of the following is an example of normal resident of India? (a) Ambassador in India of any other country. (b) Foreign worker working in WHO office located in India. (c) Ambassador of India in rest of the world. (d) All of the above.
8.	Which of the following makes GDP an inappropriate index of welfare? (a) Non- monetary transactions (b) Externalities (c) Composition and distribution of GDP (d) All of these
9.	Real national income refers to : (a) National income at current prices (b) National income at factor cost (c) National income at constant prices (d) National income at market price
10.	Difference between gross investment and net investment is: (a) Net indirect taxes (b) Net factor income from abroad (c) Depreciation (d) Both (a) and (c)
11.	Cash transfer to cyclone victims is an example of: (a) Factor income of the victims (b) Net income of the victims (c) Transfer income of the victims (d) None of these

12. Which one of the following is intermediate good?
(a) Furniture purchased by a school
(b) Refrigerator purchased by sweet shop
(c) Machine installed by a factory
(d) Sugar purchased by sweet shop

13. Which of the following is included in domestic territory of India?
(a) SBI branch in London
(b) Microsoft office in USA
(c) An American company in India
(d) American embassy in India

14. Which one will give factor cost?
(a) Market price – Net indirect taxes
(b) Market price + Net indirect taxes
(c) Market price + Subsidies
(d) Market price – Subsidies

15. National income refers to :
(a) Only factor incomes of the citizens of a country
(b) Factor incomes of the normal residents of a country
(c) The sum total of domestic income and net transfer income
(d) Both (b) and (c)

16 What is the basis of the difference between the concepts of market price(MP) and factor cost(FC)
(A) Net Indirect Taxes
(B) Indirect Taxes
(C) Direct Taxes
(D) Subsidies

17 The difference between the National Income and Domestic Income is
(A) Consumption of Fixed Capital
(B) Net Indirect Taxes
(C) Net Factor Income From Abroad
(D) Both (A) and (B)

18 A sum of Rs.10000 has been given to a flood victim. This will be considered as-
(A) Compensation of employee
(B) Fixed Investment
(C) Factor Income
(D) Transfer Payment

19 Price Rise due to tax increase cause
(A) Rise in NNP at Market price
(B) Rise in NNP at Factor Cost
(C) Rise in GDP at Market price
(D) Rise in Net Factor Income From Abroad

20 Those goods which satisfy human wants directly are called

a) Intermediate goods
b) Consumer goods
c) Capital goods
d) None of these

21 In the production of sugar, sugarcane is

a) A final good
b) A capital good
c) An intermediate good
d) None of these

22 Which of the following is a semi durable goods?

a) Radio
b) Clothes
c) Milk
d) Petrol

23 Capital goods are those goods

a) Which are used in production for several years
b) Which are used in production process for few years
c) Which involve depreciation losses
d) Both (a) and (c)

24 Increase in stock of capital is known as

a) Capital loss
b) Capital gain
c) Capital formation
d) None of these

25 Net investment is equal to

a) Gross investment + depreciation
b) Gross investment – depreciation
c) Gross investment * depreciation
d) Gross investment/ depreciation

26 Net capital formation causes

a) Increase in production capacity
b) Increase in depreciation
c) Increase in profit
d) Increase in cost

27 Which of the following leads to depreciation?

a) Normal wear and tear
b) Natural calamities
c) Changes in technology
d) None of these

28 Which of the following leads to unexpected obsolescence?

a) Change in demand
b) Natural calamities
c) Change in technology
d) None

29 Income of the family is example of which variable?

a) Stock
b) Flow
c) Both stock and flow
d) Neither stock nor flow

30 A quantity measured per unit of time is known as

a) Stock variable

b) Flow variable
c) Inventory
d) None of these

31 Which of the following is a flow variable?

a) Consumption
b) Wealth
c) Quantity of money
d) None of these

32 Which one includes depreciation?

a) GNP at market price
b) NNP at market price
c) NNP at factor cost
d) None of these

33 Which of following is not a transfer payment?

a) Interest on national debt
b) Retirement pension
c) Old age pension
d) Donations

34 Partial equilibrium relates to:
(A) Microeconomics
(B) Macroeconomics
(C) Both A and B
(D) None of these

35 Which of the following is an example of macroeconomics?
(A) Saving of an individual
(B) Consumption of a household
(C) Price level of a firm
(D) Aggregate demand of an economy

36 Electric goods like tubelights and bulbs are examples of:
(A) Durable consumer goods
(B) Semi-durable consumer goods
(C) Non-durable consumer goods
(D) All of these

37 Gross investment is equal to:
(A) Net investment – Depreciation
(B) Expenditure on the purchase of intermediate as well as final goods
(C) Net investment + depreciation
(D) None of these

38 Stock of man-made goods which are used for further production is called:
(A) Investment
(B) Capital stock
(C) Capital formation
(D) Both A and C

39 Which of the following is not a flow variable?
(A) Income
(B) Capital formation
(C) Supply of money in a country

(D) Leakage of water from the overhead tank

40 Money flows are the reciprocal of:
(A) Monetary flows
(B) Real flows
(C) Circular flows
(D) Inventory flows

41 Economic territory of a country in which economic activities of the country generates its domestic income is called:
(A) National territory
(B) Domestic territory
(C) Political territory
(D) Geographical territory

42 Which of the following is an example of normal residents of India?
(A) Foreign worker working in WHO located in India
(B) The German working as director in IMF office located in India
(C) Ambassador in India from rest of the world
(D) Ambassador of India in rest of the world

43 If NDPfc = 4300,depreciation=1350,subsidies= 250,NFIA= 330, GDPmp will be:
(A) 2370
(B) 2700
(C) 5400
(D) 6230

44 Operating surplus =
(A) RENT+INTEREST+PROFIT
(B) COE+ MIXED INCOME OF SELF- EMPLOYED
(C) COE + RENT + INTEREST + PROFIT
(D) COE + RENT + INTEREST + PROFIT+ MIXED INCOME OF SELF- EMPLOYED

45 NNPMP = _____
(A) GNPMP – Depreciation
(B) NDPMP + Net factor income from abroad
(C) NNPFC + Net indirect taxes
(D) All of these

46 Why are the intermediate goods not included in the National Income while measuring National Income?
(A) To avoid double accounting
(B) It decreases income
(C) Intermediate goods are not good
(D) All of these

47 Accounting of National Income at constant prices is known as _____
(A) Money income
(B) Real income
(C) Current income
(D) Domestic income

48 Goods which are purchased for resale are :
(A) final goods
(B) capital goods
(C) intermediate goods
(D) none of these

49 Depreciation is also known as :

(A) Consumption of fixed capital
(B) Annual replacement cost
(C) Value of capital consumption

(D) All of the above

50 Addition to the capital stock of an economy is termed as :
(A) Investment
(B) Capital loss
(C) Consumption of fixed capital
(D) All of these

51 If factor cost is > market price, then it means that :
(A) Indirect Taxes > Subsidies
(B) Indirect Taxes =Subsidies
(C) Indirect Taxes <Subsidies
(D) Indirect Taxes ≥ Subsidies

52 Sugar purchased by a sweet shop is an _____ good, while it is a _____good when it is purchased by a consumer.
(A) capital, final
(B) final, intermediate
(C) intermediate, final
(D) final, producer

53 A car purchased by a dealer of cars is :
(A) consumer good
(B) capital good
(C) intermediate good
(D) all of these

54 Which of the following is not a flow?
(A) Capital
(B) Income
(C) Investment
(D) Depreciation

55 Flow of goods and services and factors of production across different sectors in a barter economy is known as :
(A) Circular Flow
(B) Real Flow
(C) Monetary Flow
(D) Capital Flow

56 Net factor income from abroad is:
(A) Exports minus Imports
(B) Visible Exports minus Visible Imports
(C) Factor incomes received from abroad minus Factor incomes paid abroad

(D) Factor incomes received from abroad

57 Depreciation of fixed capital assets refers to :
(A) Normal wear and tear
(B) Foreseen obsolescence
(C) Normal wear and tear and foreseen obsolescence
(D) Unforeseen obsolescence

58 American embassy in India is a part of domestic territory of:
(A) India
(B) America
(C) Both (A) and (B)
(D) Neither (A) nor (B)

59 Domestic Income is greater than National Income
(A)Never
(B) May or May not
(C) Always
(D) None of these

60 Which of the following is not a 'factor payment' ?
(A) Free uniform to defence personnel
(B) Salaries to the Members of Parliament
(C) Rent paid to the owner of a building
(D) Scholarship given to the students

61 If in an economy, the vaueof Net Factor Income from Abroad is Rs. 200 crores and the value of Factor Income to Abroad is Rs. 40 crores, identify the value of Factor Income from Abroad.
(A) Rs. 200 crores
(B) Rs. 160 crores
(C) Rs. 240 crores
(D) Rs. 180 crores

62 National Income is the sum of factor incomes accruing to :
(A) Nationals
(B) Economic territory
(C) Residents
(D) Both residents and non-residents

MCQ ANSWER KEY

1	(c) NNPfc
2	(d) Both (b) and (c)
3	(b) Market price – Net indirect taxes = Factor cost
4	(c) $\frac{Nominalnationalincome}{Realnationalincome} \times 100$
5	(b) Closed economy
6	(a) GDPmp + NFIA
7	(c) Ambassador of India in rest of the world.
8	(d) All of these
9	(c) National income at constant prices
10	(c) Depreciation
11	(c) Transfer income of the victims
12	(d) Sugar purchased by sweet shop
13	(c) An American company in India
14	(a) Market price – Net indirect taxes
15	(b) Factor incomes of the normal residents of a country
16	(A) Net Indirect Taxes
17	(C) Net Factor Income From Abroad
18	(D) Transfer Payment
19	(A) Rise in NNP at Market price
20	b
21	c
22	b
23	d
24	c
25	b
26	a
27	a
28	b
29	b
30	b
31	a
32	a
33	b
34	(A) Microeconomics
35	(D) Aggregate demand of an economy
36	(B)Semi-durable consumer goods
37	(C)Net investment + depreciation
38	(B) Capital stock
39	(C) Supply of money in a country
40	(B) Real flows

41	(B) Domestic territory
42	(D) Ambassador of India in rest of the world
43	(C)5400
44	(A) RENT+INTEREST+PROFIT
45	(D) All of these
46	(A) To avoid double accounting
47	(B)Real income
48	C)intermediate goods
49	(D) All of the above
50	(A) Investment
51	(C) Indirect Taxes <Subsidies
52	(C) intermediate, final
53	(C) intermediate good
54	(A) Capital
55	(B) Real Flow
56	(C) Factor incomes received from abroad minus Factor incomes paid abroad
57	(C) Normal wear and tear and foreseen obsolescence
58	(B) America
59	(B) May or May not
60	(D) Scholarship given to the students
61	(C) ₹ 240 crores
62	(C) Residents

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CHAPTER -11-NATIONAL INCOME AND RELATED AGGREGATES (BASIC CONCEPTS)

CASE STUDY BASED QUESTIONS

CASE BASED 1 AND 2

Read the passage given below and answer the following questions :

1. On 21st June, 2015, the first World Yoga Day was celebrated. In India, it was significantly observed in Delhi, with more than 3500 people, including dignitaries from 84 nations and the Prime Minister NarendraModi. It was organized by the Ministry of AYUSH. It widely publicised through campaigns on various media to spread awareness about the benefits of Yoga among the masses. T-shirts with the yoga day logo, yoga mats and other related items were distributed to the enthusiasts. Trained yoga experts were appointed to help beginners who participated in the event.

   (a) Government's expenditure to popularise yoga among the masses_____ welfare.
   (b) Government's expenditure to popularise yoga among the masseshas no effect on GDP. (True/ False)
   (c) The term 'welfare ' refers to :
      (i) Sense of pride in the nation
      (ii) Increase in purchase of services
      (iii) Sense of well-being among the people
      (iv) Strict control by the government
   (d) GDP at constant prices is also called _____(per capita GDP/real GDP).

2. The Economic Survey, 2018-19 describes the vicious cycle of growth where increase in the rate of fixed investment accelerates the growth of GDP that in turn induces a higher growth in consumption. Higher growth of consumption improves the investment outlook, which results in still higher growth of fixed investment that further accelerates the growth of GDP, including a still higher growth of consumption. This cycle of higher fixed investment, higher GDP and higher consumption growth generates economic development in the country.

   (a) High_____is a sign of expansion of production capacity in the economy.

      (i) Gross fixed investment
      (ii) Inventory investment
      (iii) Gross investment
      (iv) Net fixed investment

(b) _____(Gross investment/ Net investment) includes investment for the maintenance of fixed assets.

(c) Inventory investment includes :
(i) stock of finished goods

(ii) stock of semi-finished goods

(iii) stock of raw materials

(iv) all of these

(d) Depreciation is a component of Net investment. (True/ False)

CASE BASED 3

Read the passage given below and answer the following questions:

The Indian economy saw its worst contraction in decades, with GDP shrinking by a record 23.9% in the Apr to June quarter in comparison to the same period last year.

The contraction reflects the severe impact of the covid-19 lockdown. The economy is in a vicious cycle of low demand and low investment as demand is contracting so heavily, while the government's capacity to neutralize this contraction has been reduced substantially by way of tax revenue contraction. Agriculture was the only sector which recorded modest growth of 3.4% . in year on year term and all other sectors saw contraction.

1 The reason why GDP of India has been decreased is-

(A) Hyper inflation

(B) Reduction in aggregate demand

(C) Low level of fixed investment

(D) None of these

2 Only Agriculture sector recorded the modest growth because-

(A) Government invested heavily in agriculture

(B) Government reduced taxes on agriculture products

(C) Demand did not get affected for agriculture produce

(D) All the above

3 Impact of covid-19 in India's GDP

(A) GDP increased

(B) GDP decreased

(C) GDP remain unchanged

(D) none of the above

CASE BASED QUESTION 4

Read the following report and answer the questions based on it.

New Delhi: asserting that the "worst is behind us" veteran banker Deepak Parekh on Thursday said that India's GDP growth will be in positive territory in the fourth quarter as demand has started picking up in all sectors. Citing an example, he said during the virtual conference organised by Canada – India based Council. he said toll collection are back to 88% of pre Covid level, e way bills are increasing and electricity consumption has stabilized. India is domestic based economy and demand is set to rise in coming future.

a) Do you think higher level of Real GDP always lead to higher availability of goods per person in the domestic economy?
b) Can we say GDP is true indicator of welfare?
c) Real GDP is the index of _____.

CASE BASED QUESTION 5

The Indian economy saw its worst contraction in decade , with GDP shrinking by a record 23% in April to June Quarter in comparison to the same period last year .The contraction reflects the severe impact of the Covid 19 lockdown, which halted most economic activities as well as the slowdown trend of the economy even pre Covid 19 .The Indian economy is in a deeply vicious cycle, where demand is contracting so heavily ,while the capacity to neutralise this contraction has also contracted equally because of the tax revenue contraction.

Agriculture was the only sector which recorded modest growth of 3.4% in year on year term and all other sectors saw contraction.

Answer the following based on the text:

a) The impact of Covid 19 on India's GDP_____. (increasing / decreasing)
b) _____ is crucial for revenue collection.(Nominal GDP/National income)
c) Who are considered as owner of factors of production? (Firms/ Households)

CASE BASED QUESTION 6

6 Read the passage given below and answer the following questions 1and 2

GDP is a measure of economic prosperity of a country compiled as output or income. However, GDP is regularly criticized for not presenting a fair view of welfare. If GDP is a poor measure of welfare, focusing one sided on increasing GDP may lead to misguided political decision. For example Nobel Laureate Joseph Stieglitz has argued that the objective of the highest possible GDP growth will result reduced welfare.

1 GDP is not considered as a better measure of development. Which of the following reasons could be accounted for the same?

(a)Externalities

(b) Non-marketable services

(c) Production of harmful goods

(d) All of these

2 A course of action by one economic agent which has an adverse impact on the other economic agent without cost sharing, is known as…… (Positive/Negative) externality.

(A) Positive
(B) Negative

CASE BASED QUESTIONS ANSWER KEY

	CASE BASED 1 AND 2 ANSWER KEY
Q.1 (a)	Increase
(b)	False
(c)	(iii) Sense of well-being among the people
(d)	Real GDP
Q.2 (a)	(iv) Net fixed investment
(b)	Net investment
(c)	(iv) all of these
(d)	False
	CASE BASED 3 ANSWER KEY
1	(B) Reduction in aggregate demand
2	(C) Demand did not get affected for agriculture produce much
3	(B) GDP decreased
	CASE BASED 4 ANSWER KEY
1	a) NO b) NO c) Economic growth
	CASE BASED 5 ANSWER KEY
	a) Increasing b) Nominal GDP c) Household
	CASE BASED 6 ANSWER KEY
1	(D) All of these
2	(B) Negative

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TRUE AND FALSE QUESTIONS

1. Domestic income of a country can be more than its national income.
   (A) True
   (B) False

2. Domestic income includes income of normal residents only.
   (A) True
   (B) False

3. In a closed economy domestic income may be more or less than national income.
   (A) True
   (B) False
4. Double counting leads to over estimation of national income.
   (A) True
   (B) False

5. In the estimation of GDP and national income we include the value of final goods and services only.
   (A) True
   (B) False

6 Factor incomes are only earned incomes
   (C) True
   (D) False
7 Monetary GDP is estimated using the base year prices.
   (A) True
   (B) False
8 All capital goods are producer goods.
   (A) True
   (B) False
9 Domestic income is more than National income when NFIA is negative.
   (A) True
   (B) False
10 Capital stock increases as a result of investment.
   (A) True
   (B) False

11 In an open economy domestic income is always equal to domestic income.

(A) True

(B) False

12 Depreciation can be negative also

(A) True

(B) False

13 Indirect tax can never be negative.

(A) True

(B) False

14 Domestic income can never be more than national income,

(A) True

(B) False

15 Higher GDP will always lead to higher welfare.

A)True

B)False

16 Transfer incomes are included in the estimation of national income as these are rewards for rendering factor services.

A)True

B)False

17 GDP deflator shows change in GDP owing to the change in the price level.

A)True

B)False

18 Subsidy causes the difference between gross domestic product and net domestic product.

A)True

B)False

19 The impact of externalities is always negative.

A)True

B)False

20 Domestic income of a country can be more than its national income.

A)True

B)False

21 Domestic income includes income of normal residents only.

A)True

B)False

22 In a closed economy domestic income may be more or less than national income.

A)True

B)False

23 Double counting leads to over estimation of national income.

A)True

B)False

24 In the estimation of GDP and national income we include the value of final goods and services only.

A)True

B)False

TRUE / FALSE ANSWER KEY

Sl. No.	Answers
1.	True
2.	False
3.	False
4.	True
5.	True
6	True
7	False
8	True
9	True
10	True
11	false
12	false
13	true
14	false
15	false
16	True
17	True
18	False
19	False
20	True
21	False
22	False
23	True
24	True

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CHAPTER -11-NATIONAL INCOME AND RELATED AGGREGATES (BASIC CONCEPTS)

ASSERTION- REASON QUESTIONS

Sl. No.	Questions
1.	Statement (A): Real GDP is better indicator of economic growth than nominal GDP. Reason (R): Real GDP eliminates the change in prices. (a) Both (A) and (R) true and (R) is correct explanation of (A). (b) Both (A) and (R) true but (R) is not correct explanation of (A). (c) (A) is true but (R) is false. (d) (A) is false but (R) is true.
2.	Statement (A): Higher level of GDP does not ensure higher level of social welfare. Reason (R): Level of GDP does not focus on the composition and distribution of income. (a) Both (A) and (R) true and (R) is correct explanation of (A). (b) Both (A) and (R) true but (R) is not correct explanation of (A). (c) (A) is true but (R) is false. (d) (A) is false but (R) is true.
3.	Statement (A): GDPmp is the sum total of market value of all final goods and services produced in the domestic territory during an accounting year. Reason (R): GNPfc is the sum total of market value of final goods and services produced by the normal residents of a country during an accounting year. (a) Both (A) and (R) true and (R) is correct explanation of (A). (b) Both (A) and (R) true but (R) is not correct explanation of (A). (c) (A) is true but (R) is false. (d) (A) is false but (R) is true.
4.	Statement (A): We can convert domestic income into national income. Reason (R): Net indirect taxes are the difference between domestic income and national income. (a) Both (A) and (R) true and (R) is correct explanation of (A). (b) Both (A) and (R) true but (R) is not correct explanation of (A). (c) (A) is true but (R) is false. (d) (A) is false but (R) is true.
5.	Statement (A): The concept of normal resident is important for national income estimation. Reason (R): The concept of normal resident is different from the concept of citizen of a country. (a) Both (A) and (R) true and (R) is correct explanation of (A).

(b) Both (A) and (R) true but (R) is not correct explanation of (A).
(c) (A) is true but (R) is false.
(d) (A) is false but (R) is true.

6 Assertion: Gross Domestic Capital Formation can be less than Gross Fixed Capital Formation.
Reason: Change in Stock is negative.
(A) Both Assertion and reason are true and reason is correct explanation of assertion.
(B) Assertion and reason both are true but reason is not the correct explanation of assertion.
(C) Assertion is true, reason is false.
(D) Assertion is false, reason is true.

7 Assertion: Government should increase its investment expenditure to increase GDP
Reason: Government should spend more on health infrastructure.
(A) Both Assertion and reason are true and reason is correct explanation of assertion.
(B) Assertion and reason both are true but reason is not the correct explanation of assertion.
(C) Assertion is true, reason is false.
(D) Assertion is false, reason is true.

8 Assertion: A change in taste and preference of Indian consumer towards MNCs and imported goods leads to decrease in GDP
Reason: expenditure on imports of goods is subtracted from final expenditure in order to estimate GDP.
(A) Both Assertion and reason are true and reason is correct explanation of assertion.
(B) Assertion and reason both are true but reason is not the correct explanation of assertion.
(C) Assertion is true, reason is false.
(D) Assertion is false, reason is true.

9 Assertion: Expansion of Indian industries abroad leads to increase in national income of the country.
Reason: Retained earnings of resident companies abroad is included in national income.
(A) Both Assertion and reason are true and reason is correct explanation of assertion.
(B) Assertion and reason both are true but reason is not the correct explanation of assertion.
(C) Assertion is true, reason is false.
(D) Assertion is false, reason is true.

10 Assertion (A) India's GDP is forecast to contract 5.9% in 2020 and recover to3.9% next year, the UNCTAD report said.
Reason(R) India I s experiencing impacts of worldwide deep recession amid a still unchecked pandemic.
(a) Both Assertion(A) and Reason (R) is true and is Reason is correct explanation for Assertion (A)
(b) Both Assertion and Reason is true but Reason(R) is not the correct explanation for Assertion (A)
(c) Assertion is true but Reason is false

(d) Assertion is false but Reason is true.

11 Assertion (A) GDP can never be greater than GNP
Reason (R) NFIA can never be negative
a) Both Assertion (A) and Reason (R) is true is true and Reason is correct explanation for Assertion
b) Both Assertion (A) and Reason(R) is true, but Reason(R) is not correct explanation for Assertion(A)
c) Assertion is true but Reason is false
d) Assertion is false but Reason is true

12 Assertion (A) Goods that are ultimately consumed rather than used in the production of another good are known as final goods
Reason(R) Components sold to car manufacturer are type of final goods.
(a) Both assertion(A) and Reason (R) is true and Reason(R) is the correct explanation for Assertion (A)
(b) Both Assertion and Reason is true but Reason is not correct explanation for Assertion.
(c) Assertion(A) is true but Reason (R) is false.
(d) Assertion is true but Reason is false
(e) Assertion is false but reason is true

13 Assertion(A) Income from self-consumption is to be included in National Income.
Reason (R) A house owner living in his own house is assumed to be paying rent to himself for using up the factor services.
a) Both Assertion (A) and Reason (R) is true and Reason (A) is the correct explanation for assertion (A)
b) Both Assertion (A) and Reason (R) is correct but Reason is not correct explanation for Assertion.
c) Assertion (A) is true but Reason (R) is false.
d) Assertion is false but Reason is true.

14 Assertion (A) The GNP is the value of goods and services produced annually in the Nation.
Reason(R) The most comprehensive measure of national output is the GNP.
(a) Both Assertion(A) and Reason (R) is true and Reason (R) is the correct explanation for Assertion (A)
(b) Both assertion (A) and Reason (R) is true but Reason is not correct explanation for Assertion.
(c) Assertions true but Reason is false.
(d) Assertion is false but Reason is true.

15 **Assertion:** Factor income is bilateral income.
Reason: Factor income is earned for contributing to production process.
Alternatives:
A. Both A and R are true but R is the correct explanation of A.
B. Both A and R are true but R is not correct explanation of A.
C. A is true but R is false.
D. A is false but R is true.

16 **Assertion:** Intermediate goods have direct demand.
Reason: The demand for intermediate goods depends on demand for final goods.
Alternatives:
A. Both A and R are true but R is the correct explanation of A.
B. Both A and R are true but R is not correct explanation of A.
C. A is true but R is false.
D. A is false but R is true.

17 **Assertion:** Transfer income is not included in the national income.
Reason: Transfer income is a unilateral concept.
Alternatives:
A. Both A and R are true but R is the correct explanation of A.
B. Both A and R are true but R is not correct explanation of A.
C. A is true but R is false.
D. A is false but R is true.

18 **Assertion:** Subsidy is transfer payment.
Reason: Subsidy contributes to current flow of goods and services.
Alternatives:
A. Both A and R are true but R is the correct explanation of A.
B. Both A and R are true but R is not correct explanation of A.
C. A is true but R is false.
D. A is false but R is true.

19 **Assertion:** Depreciation is also termed as Consumption of fixed capital .
Reason: Depreciation refers to that value of fixed capital which is used up in the process of production.
Alternatives:
A. Both A and R are true but R is the correct explanation of A.
B. Both A and R are true but R is not correct explanation of A.
C. A is true but R is false.
D. A is false but R is true.

20 Assertion : Intermediate goods have direct demand.
Reason: The demand for intermediate goods depend on demand for final goods.
(A) Both Assertion and reason are true and reason is correct explanation of assertion.
(B) Assertion and reason both are true but reason is not the correct explanation of assertion.
(C) Assertion is true, reason is false.
(D) Assertion is false, reason is true.

21 Assertion: Domestic income of a country can be more than its National income
Reason: Factor income paid abroad < Factor income received from abroad.
(A) Both Assertion and reason are true and reason is correct explanation of assertion.
(B) Assertion and reason both are true but reason is not the correct explanation of

assertion.
(C) Assertion is true, reason is false.
(D) Assertion is false, reason is true.

22 Assertion: A good that will not pass through any more stages of production or transformation is called a final good.
Reason: Value of final good is included in National Income.
(A) Both Assertion and reason are true and reason is correct explanation of assertion.
(B) Assertion and reason both are true but reason is not the correct explanation of assertion.
(C) Assertion is true, reason is false.
(D) Assertion is false, reason is true.

23 Assertion: Nominal value is money value or value measured in terms of prices that prevail at the time of measurement.
Reason: GDP is measured at both current prices as well as constant prices.
(A) Both Assertion and reason are true and reason is correct explanation of assertion.
(B) Assertion and reason both are true but reason is not the correct explanation of assertion.
(C) Assertion is true, reason is false.
(D) Assertion is false, reason is true

24 Assertion: GDP at MP can be equal to NDP at MP
Reason: NIT = 0
(A) Both Assertion and reason are true and reason is correct explanation of assertion.
(B) Assertion and reason both are true but reason is not the correct explanation of assertion.
(C) Assertion is true, reason is false.
(D) Assertion is false, reason is true.

Assertion- Reason Answers

Sl. No.	Answers
1.	(a) Both (A) and (R) true and (R) is correct explanation of (A).
2.	(a) Both (A) and (R) true and (R) is correct explanation of (A).
3.	(c)(A) is true but (R) is false.
4.	(c)(A) is true but (R) is false.
5.	(b) Both (A) and (R) true but (R) is not correct explanation of (A).
6	(A) Both Assertion and reason are true and reason is correct explanation of assertion.
7	(B) Assertion and reason both are true but reason is not the correct explanation of assertion.
8	(A) Both Assertion and reason are true and reason is correct explanation of assertion.
9	(A) Both Assertion and reason are true and reason is correct explanation of assertion.
10	a
11	b
12	a
13	a
14	c
15	A. Both A and R are true but R is the correct explanation of A.
16	D. A is false but R is true.
17	B. Both A and R are true but R is not correct explanation of A.
18	C. A is true but R is false.
19	A. Both A and R are true but R is the correct explanation of A.
20	(D)
21	(C)
22	(B)
23	(B)
24	(C)

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